

SS1 Commercial Track: Financial Accounting

Diagnostic (Part 1)

Scope: Principles of Bookkeeping & Double Entry

Questions 1 - 20

No.	Question & Options	Ans	Diagnostic Focus
1	Accounting is often referred to as the "Language of ____". A) Money B) Business C) Mathematics D) Management	B	Foundational Definition.
2	The Accounting Equation is expressed as: A) Assets = Capital - Liabilities B) Assets = Capital + Liabilities C) Capital = Assets + Liabilities D) Liabilities = Capital + Assets	B	Fundamental Logic.
3	A person to whom a business owes money is a: A) Debtor B) Creditor C) Investor D) Proprietor	B	Vocabulary (Liability sense).
4	The process of recording financial transactions in a set of books is: A) Auditing B) Bookkeeping C) Balancing D) Costing	B	Scope of Accounting.
5	Which of these is an example of a Fixed (Non-Current) Asset? A) Cash in hand B) Stock/Inventory C) Delivery Van D) Debtors	C	Classification of Assets.
6	The Golden Rule of Double Entry says: A) Credit the receiver, Debit the giver B) Debit the receiver, Credit the giver C) Credit all assets, Debit all liabilities D) Debit all income, Credit all expenses	B	Double Entry Core Principle.
7	Furniture bought for use in the office should be debited to: A) Purchases Account B) Office Account C) Furniture Account D) Cash Account	C	Account Categorization (Asset vs. Expense).
8	A Credit balance in the Cash Book indicates: A) Cash at bank B) Cash in hand C) Bank Overdraft D) Profit made	C	Bank Transaction Logic.
9	Which book of original entry is used to record credit purchases of goods? A) Sales Journal B) Purchases Journal C) Cash Book D) General Ledger	B	Subsidiary Books usage.
10	The brief explanation following a journal entry is called a/an: A) Description B) Narration C) Analysis D) Summary	B	Technical Terminology.
11	If a business starts with N50,000 Capital and N20,000 Liabilities, its total Assets are: A) N30,000 B) N70,000 C) N50,000 D) N100,000	B	Applying the Equation.
12	Drawing in accounting refers to: A) Making sketches B) Money taken by the owner for private use C) Money invested by the owner D) Selling of assets	B	Proprietorship concepts.
13	Discount allowed is given to: A) Staff members B) Debtors C) Creditors D) The Government	B	Cash Discount Logic.

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14	Which of the following describes 'Stock' at the end of an accounting period? A) Opening Stock B) Goods in transit C) Closing Stock D) Returns Inward	C	Inventory terminology.
15	The 'ledger' is known as the book of: A) Original entry B) Final entry C) Daily transactions D) Unpaid debts	B	Ledger classification.
16	A 'Contra' entry occurs when: A) A mistake is corrected B) Cash is withdrawn from bank for office use C) A customer pays his debt D) Goods are returned to a supplier	B	Cash Book complexity.
17	Value Added Tax (VAT) is an example of an: A) Direct tax B) Indirect tax C) Asset D) Expense	B	Taxation Awareness (Nigerian).
18	Which of the following is an intangible asset? A) Buildings B) Machinery C) Goodwill D) Inventory	C	Abstract Asset classification.
19	When goods are returned by a customer, the business issues a: A) Invoice B) Credit Note C) Debit Note D) Receipt	B	Source Documents.
20	Diagnostic Insight: Failure in Q2, Q6, and Q11 indicates the student lacks the mathematical and classification logic required for Accountancy.	-	Pathway Fit Check.